

It is important to understand the true underlying exposures to currency fluctuations. For example, in 2009 we decided not to hedge our currency exposure in Tata Consultancy Services, an Indian IT services company, because it generated its revenues in U.S. dollars and euros, while most of its costs were in local currency. Thus it benefited from a depreciating Indian rupee. Businesses that benefit from weaker local currencies are particularly valuable in countries that do not have a currency that can be easily hedged, such as Vietnam. We could not hedge our exposure to the Vietnamese dong when we invested in Vietnam Dairy, but we received a measure of protection from the fact that Vinamilk's products competed against imported dairy products from New Zealand, which were priced in U.S. dollars. As the dong depreciated, prices of these imported competitors increased at the rate of depreciation, giving Vinamilk an opportunity to raise prices to fully offset this depreciation.

U.S. investors also need to consider currency risk when investing in developed markets. In the case of the Greek debt crisis of 2012, despite the significant price declines of companies such as the stock exchange (Hellenic Exchanges) and the national lottery (OPAP), there was still additional downside risk if Greece were to leave the euro. As analysts, we estimated our downside exposure in this worst-case scenario. In the case of stocks valued below a company's underlying cash per share, we could bookend our downside and potentially hedge any currency risk on the cash. We generally avoid investing in situations where we were unable to determine an acceptable downside value.

MANAGEMENT COMPETENCE, ALIGNMENT, AND INTEGRITY

Graham and Dodd warn that "future value factors" can affect the realization of the intrinsic value of a security. (Chap. 1) A key future value factor is management competence and reputation. Warren